

LEMFA PARTNERSHIP STRATEGY

Comprehensive Solution for Lesotho Microfinance Association

Meeting Date: [Date of LEMFA Meeting]
Key Contact: President Nthole, LEMFA
Strategic Opportunity: Position platform as affordable, integrated alternative to expensive foreign systems

EXECUTIVE SUMMARY

The Problem LEMFA Faces

- Expensive Foreign Monopoly:** Experian (ProLoan) is the only vendor, charging M 11,000 per MFI annually for basic LMS
- Fragmented Systems:** Separate expensive systems for credit reporting (NCIR - M 100,000), LMS, KYC, and prudential reporting
- Compliance Burden:** Credit Report Act 2012 requirements for affordability assessments, quarterly CBL reports, AML compliance
- Limited Competition:** No local alternatives, LEMFA locked into expensive foreign solutions
- Member Constraints:** Most LEMFA members (small MFIs) struggle with high system costs

Our Strategic Solution

Build an integrated, affordable, locally-owned platform that:

- Replaces expensive foreign LMS systems (save M 11,000/MFI/year)
- Integrates credit bureau reporting (alternative to M 100,000 NCIR)
- Automates prudential reporting to CBL
- Handles KYC/AML compliance
- Provides affordability assessments per Credit Act 2012
- Costs 50-70% less than current solutions
- Serves as LEMFA's endorsed technology partner

Strategic Positioning: "The African Alternative - Built for Lesotho, by Basotho, for Basotho MFIs"

PART 1: IMMEDIATE OPPORTUNITIES

Opportunity 1: LEMFA Vendor Partnership

Objective: Become LEMFA's preferred technology vendor, competing directly with Experian/ProLoan

Value Proposition to LEMFA:

- **Cost Savings:** M 5,000-7,000/MFI/year (vs M 11,000 for ProLoan)
- **Collective Savings:** If 20 LEMFA members adopt = M 80,000-120,000 saved annually
- **Local Ownership:** Money stays in Lesotho, supports local tech jobs
- **Customization:** Built for Lesotho regulations, not generic regional solution
- **Support:** Local support team, Sesotho interface, on-the-ground training

Implementation Steps:

Phase 1: Proof of Concept (Months 1-3)

1. Develop MVP LMS module with 2-3 LEMFA member MFIs as pilot
2. Focus on core features: loan origination, disbursement, collections, reporting
3. Integrate with existing Experian credit bureau (as required by CBL)
4. Build CBL prudential reporting module
5. Document cost savings and efficiency gains

Phase 2: LEMFA Endorsement (Months 4-6) 6. Present results to LEMFA board 7. Seek LEMFA endorsement as preferred vendor 8. Negotiate group pricing for LEMFA members 9. CBL approval process (present as LEMFA initiative)

Phase 3: Rollout (Months 7-12) 10. Onboard 10-15 LEMFA member MFIs 11. Establish training and support infrastructure 12. Build case studies and success metrics

Opportunity 2: Credit Bureau Alternative

Challenge: NCIR (National Credit Information Repository) costs M 100,000 - prohibitive for most MFIs

Solution Approach:

Option A: NCIR Integration Layer (Short-term)

- Build affordable API integration with NCIR
- MFIs use our platform, we handle NCIR connectivity
- Shared cost model: M 20,000-30,000/year for unlimited queries
- Collective bargaining power through LEMFA membership

Option B: Alternative Credit Scoring System (Medium-term)

- Build Lesotho-specific credit scoring using:
 - Group lending history (your unique data)
 - Mobile money transaction patterns (M-Pesa/Vodacom partnerships)
 - Community vouching and references
 - Traditional group reputation scores
- Supplement (not replace) NCIR for unbanked borrowers
- CBL approval as alternative data source

Option C: LEMFA Shared Credit Database (Long-term)

- LEMFA members pool loan performance data
- Shared database accessible only to contributing members
- Platform hosts and manages database
- Complies with Credit Report Act 2012 data protection requirements
- Revenue model: M 500/MFI/month for access

Recommended Approach: Start with Option A, build toward Option C

Opportunity 3: LEAP Funding Application

Program: Lesotho Entrepreneurship Acceleration Program

Contact: President Nthole (referral)

Location: Matanki House Office

Funding Strategy:

Grant Application Focus:

1. **Innovation Narrative:** First locally-owned MFI technology platform
2. **Job Creation:** 20-30 tech jobs in first 2 years
3. **Financial Inclusion:** Reducing costs enables more lending to unbanked
4. **Import Substitution:** Replacing expensive foreign systems with local solution

5. Skills Development: Training Basotho developers in fintech

Funding Request: M 500,000 - M 1,000,000

Use of Funds:

- Platform development: 40% (M 200K-400K)
- Team expansion: 30% (M 150K-300K)
- Pilot with LEMFA members: 15% (M 75K-150K)
- Regulatory compliance: 10% (M 50K-100K)
- Contingency: 5% (M 25K-50K)

Application Timeline:

- Weeks 1-2: Schedule meeting at Matanki House via Nthole introduction
 - Weeks 3-4: Prepare detailed proposal aligned with LEAP priorities
 - Week 5: Submit application
 - Weeks 6-12: Follow-up and presentation (if shortlisted)
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PART 2: TECHNICAL SOLUTION ARCHITECTURE

Module 1: Loan Management System (LMS)

Core Features Required:

A. Loan Origination

- Application intake and processing
- Document management (ID, payslips, bank statements)
- **Affordability Assessment Engine** (Credit Act 2012 compliance):
 - Income verification
 - Expense analysis (your existing module)
 - Debt-to-income ratio calculation
 - Automated approve/decline recommendation
 - Audit trail of assessment
- Credit scoring (internal + NCIR integration)
- Loan product configuration (rates, terms, fees)
- Approval workflow with maker-checker controls

B. Loan Disbursement

- Multiple disbursement channels:
 - Bank transfer
 - Mobile money (M-Pesa, Vodacom)
 - Cash (with controls)
- Disbursement approval workflow
- Automated customer notifications (SMS)
- Accounting integration (journal entries)

C. Loan Servicing

- Repayment schedule generation
- Payment processing and allocation
- Early settlement calculations
- Loan restructuring tools
- Interest capitalization
- Fee management

D. Collections Management

- Automated payment reminders (SMS, WhatsApp)
- Arrears tracking and aging analysis
- Collections workflow (stages, escalation rules)
- Field agent assignment and tracking
- Provisioning calculations (IFRS 9)
- Write-off and recovery tracking

E. Portfolio Management

- Real-time portfolio dashboard
- Loan portfolio quality metrics (PAR, NPL)
- Risk analytics and early warning indicators
- Concentration analysis (sector, geography)
- Vintage analysis
- Cohort performance tracking

Module 2: KYC/AML Compliance

Required Features:

A. Customer Due Diligence (CDD)

- Identity verification:
 - National ID capture and validation
 - Biometric verification (fingerprint, photo)
 - Address verification (utility bill, chief's letter)
- Source of income/funds verification
- Purpose of loan documentation
- Risk categorization (low, medium, high)

B. Enhanced Due Diligence (EDD)

- Politically Exposed Person (PEP) screening
- Sanction list checking
- Adverse media screening
- Beneficial ownership identification (for business loans)
- High-value transaction monitoring

C. Transaction Monitoring

- Automated monitoring rules
- Threshold alerting (large transactions)
- Unusual pattern detection
- Suspicious activity report (SAR) generation
- Record retention (7 years minimum)

D. AML Reporting

- Suspicious Activity Reports (SARs) to FIU
- Threshold reporting (cash transactions > M 25,000)
- Annual AML compliance report
- Customer risk profiling reports

Module 3: Prudential Reporting (CBL)

Quarterly Prudential Returns:

A. Balance Sheet & P&L

- Automated data extraction from accounting system
- Regulatory format templates (CBL prescribed formats)
- Balance sheet reconciliation
- Income statement classification

B. Portfolio Quality Reports

- Loan portfolio composition by:
 - Product type
 - Sector/industry
 - Geographic region
 - Loan size bands
 - Maturity profile
- Non-performing loan (NPL) analysis
- Provisioning calculations and adequacy
- Write-offs and recoveries

C. Prudential Ratios

- Capital adequacy ratio (minimum 15%)
- Liquidity ratio (minimum 20%)
- Large exposure (>10% of capital)
- Related party exposure (maximum 15% of capital)
- Asset quality ratios
- Profitability ratios (ROA, ROE)

D. Risk Management Reports

- Credit risk exposure
- Operational risk incidents
- Market risk (if applicable)
- Risk mitigation measures

E. Conduct of Business Reporting

- Customer complaints register
- Fair lending practices compliance
- Pricing transparency verification
- Consumer protection measures

F. One-Click Submission

- All reports generated with single click
- Export to CBL formats (Excel, PDF)
- Electronic submission portal integration
- Audit trail of submissions

Module 4: Credit Bureau Integration

A. NCIR Integration

- Real-time credit report retrieval
- Bulk upload of loan data
- Automated monthly data submission
- Data quality validation
- Dispute management

B. Alternative Data Sources

- Mobile money transaction history (with consent)

- Utility payment history
- Rent payment history (if available)
- Group lending reputation scores
- Community references

C. Internal Credit Scoring

- Proprietary scoring model using:
 - Demographic factors
 - Income stability
 - Group membership history
 - Previous loan performance
 - Savings behavior
 - Mobile money patterns
- Machine learning for continuous improvement
- Override capability with justification

Module 5: Accounting Integration

Core Accounting Features:

A. Chart of Accounts

- MFI-specific chart of accounts template
- IFRS compliant
- Multi-currency support (Maloti/Rand)

B. Automated Journal Entries

- Loan disbursement
- Interest accrual (daily)
- Fee recognition
- Repayment application
- Provisioning (IFRS 9)
- Write-offs

C. Financial Statements

- Balance sheet
- Income statement
- Cash flow statement
- Trial balance
- General ledger
- Aged receivables

D. Integration Options

- Direct integration with QuickBooks, Pastel, Sage
 - API for custom accounting systems
 - Manual journal entry export (CSV)
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PART 3: COMPETITIVE POSITIONING

Comparison: Our Platform vs Experian ProLoan

Feature	Our Platform	Experian ProLoan	Advantage
Annual Cost	M 5,000–7,000	M 11,000	Save 36–45%
Setup Fee	M 2,000	M 15,000+	Save 87%
Training	Included, ongoing	Limited, extra cost	Free ongoing
Local Support	Phone, email, in-person	Email only, SA-based	Better service
Language	Sesotho + English	English only	Accessible
Customization	Free minor changes	Expensive	Flexible
Group Lending	Native support	Add-on	Built-in
Mobile Money	Native integration	Limited	Seamless
Credit Bureau	NCIR + alternatives	NCIR only	More options
Prudential Reports	Auto-generated	Manual	Efficient
Data Ownership	You own your data	Experian owns	Your data
Updates	Continuous	Slow	Agile
Vendor Lock-in	Open standards	Proprietary	Freedom

Market Opportunity Sizing

LEMFA Member MFIs: ~25-30 institutions

Immediate Target: 10 MFIs in Year 1

Revenue Potential:

- LMS subscription: 10 MFIs × M 6,000 = **M 60,000/year**
- Credit bureau access: 10 MFIs × M 2,000 = **M 20,000/year**
- Training & support: 10 MFIs × M 1,000 = **M 10,000/year**
- **Total Year 1 Revenue: M 90,000**

Year 2-3 Growth:

- Add 10 more MFIs per year
- Year 2: M 180,000
- Year 3: M 270,000
- **3-Year Total: M 540,000**

Additional Revenue Streams:

- White-label for banks (BAL members)
- Regional expansion (Eswatini, Botswana MFIs)
- Data analytics services
- Consulting and training

PART 4: IMPLEMENTATION ROADMAP

Phase 1: Foundation (Months 1-3)

Technical Development:

-  Already have: Loan calculator, affordability assessment, document management
-  Build: LMS core (origination, disbursement, servicing)
-  Build: Collections management module

-  Build: Portfolio dashboard
-  Integrate: NCIR API (credit bureau)

Partnership Development:

- Meet with President Nthole (introduction to LEAP)
- Identify 2-3 pilot MFIs from LEMFA
- Present solution to LEMFA board
- Begin LEAP funding application

Regulatory:

- Review Credit Report Act 2012 requirements
- Study CBL prudential reporting formats
- Consult with CBL on platform approval process

Team:

- Hire compliance specialist (former MFI experience)
- Hire senior developer (LMS experience)
- Engage legal advisor for contracts

Phase 2: Pilot (Months 4-6)

Technical:

- Deploy LMS to 2-3 pilot MFIs
- Build KYC/AML module
- Build prudential reporting module
- Integrate accounting systems (QuickBooks, Pastel)
- Stress testing and bug fixes

Business:

- Document pilot results and metrics
- Collect testimonials from pilot MFIs
- Refine pricing model
- Develop training materials (video, documentation)
- Create marketing collateral

Regulatory:

- Submit platform for CBL review
- Obtain any required technology provider approvals
- Register with Data Protection Commissioner (if not done)

Funding:

- Submit LEAP application (via Nthole referral)
- Approach impact investors with pilot results
- Apply for other grants (LNDC, UNCDF, etc.)

Phase 3: Scale (Months 7-12)

Technical:

- Onboard 8-10 additional MFIs
- Build advanced analytics module
- Develop mobile app for loan officers

- Create borrower self-service portal
- API for third-party integrations

Business:

- Launch formal partnership with LEMFA
- Attend LEMFA events and conferences
- Present at CBL fintech forums
- Expand to 10-15 MFI customers
- Hire customer success team

Product Evolution:

- Alternative credit scoring (mobile money data)
- Shared LEMFA credit database
- Business intelligence and reporting tools
- Integration with more accounting systems

Phase 4: Expansion (Year 2+)

Market Expansion:

- Approach BAL (Bankers Association of Lesotho)
- White-label solution for small banks
- Regional expansion: Eswatini, Botswana

Product Expansion:

- Savings account management
- Mobile banking integration
- Agent banking module
- Micro-insurance facilitation

PART 5: PRICING STRATEGY

Tiered Pricing Model

Tier 1: Starter (Small MFIs)

Target: <500 active loans, <M 5M portfolio

Price: M 4,000/year

Includes:

- Core LMS (origination, disbursement, servicing, collections)
- Basic reporting
- KYC/AML compliance tools
- Up to 3 users
- Email support
- Monthly training webinars

Tier 2: Professional (Medium MFIs)

Target: 500-2,000 loans, M 5-20M portfolio

Price: M 7,000/year

Includes:

- Everything in Starter
- Prudential reporting automation
- Credit bureau integration (NCIR)
- Advanced analytics dashboard
- Up to 10 users
- Phone + email support
- Quarterly on-site training

Tier 3: Enterprise (Large MFIs)

Target: 2,000+ loans, >M 20M portfolio

Price: M 12,000/year

Includes:

- Everything in Professional
- Accounting system integration
- Custom reporting
- API access for integrations
- Unlimited users
- Dedicated account manager
- Monthly on-site support

Add-On Services

- **Credit Bureau Access:** M 1,500-2,500/year (shared NCIR cost)
- **Additional Training:** M 500/day per MFI
- **Custom Development:** M 800-1,200/day
- **Data Migration:** M 3,000-5,000 (one-time)
- **On-site Implementation:** M 2,000/day + travel

LEMFA Member Discount

- **Group Pricing:** 20% discount if 5+ LEMFA members sign up
- **Early Adopter:** 30% discount Year 1 for first 5 MFIs
- **Referral Program:** M 500 credit for each successful referral

Payment Terms

- Annual payment (one invoice)
- Quarterly payment option (+5% surcharge)
- 30-day money-back guarantee
- 60-day payment terms for established MFIs

PART 6: GO-TO-MARKET STRATEGY

Key Message: "Built for Lesotho, By Basotho"

Positioning Statements:

To LEMFA Members: "Stop paying expensive foreign vendors. Get an affordable, locally-supported system built specifically for Lesotho MFIs."

To CBL: *"A local technology solution that improves prudential reporting quality and financial sector stability."*

To Borrowers: *"Faster loan approvals, better service, more transparency - powered by Basotho innovation."*

Marketing Channels

1. LEMFA Partnership (Primary)

- Presentation at LEMFA AGM
- Monthly newsletter feature
- LEMFA website listing
- Joint webinars on compliance topics
- Booth at LEMFA events

2. Direct Outreach

- One-on-one meetings with MFI CEOs
- Product demos (in-person and virtual)
- Free trial offers (30 days)
- Case studies and testimonials
- Reference site visits

3. Industry Presence

- CBL fintech forums
- Banking sector events
- Cooperative societies conferences
- Media coverage (business newspapers, radio)

4. Digital Marketing

- LinkedIn company page and content
- YouTube demo videos and tutorials
- WhatsApp Business for support
- Email newsletter to MFI decision-makers

5. Thought Leadership

- Blog on MFI technology trends
- White papers on compliance topics
- Speaking engagements
- Training workshops (free and paid)

Sales Process

Step 1: Introduction (Week 1)

- Initial contact via Nthole or direct outreach
- 30-minute discovery call
- Understand current pain points and systems

Step 2: Demo (Week 2)

- Live product demonstration
- Focus on specific pain points identified
- Show cost comparison with current solution
- Provide trial access

Step 3: Pilot Proposal (Week 3)

- Custom proposal with pricing
- Implementation timeline
- Success metrics
- Reference customers

Step 4: Trial/Pilot (Weeks 4-8)

- 30-day free trial or paid pilot
- Hands-on training and support
- Weekly check-ins
- Gather feedback

Step 5: Contract (Week 9-10)

- Negotiate final terms
- Sign annual contract
- Schedule full implementation

Step 6: Onboarding (Weeks 11-14)

- Data migration from old system
- User training (all staff)
- Configuration and customization
- Go-live support

Step 7: Success (Ongoing)

- Monthly check-ins
 - Quarterly business reviews
 - Continuous training
 - Feature requests and roadmap input
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PART 7: RISK MITIGATION

Risk 1: Experian Competitive Response

Risk: Experian drops prices or bundles services to retain customers

Mitigation:

- Emphasize local support and customization advantages
- Build switching costs through superior service
- Focus on features Experian doesn't offer (group lending, alternative credit)
- Lock in early adopters with multi-year contracts at discounted rates

Risk 2: Regulatory Approval Delays

Risk: CBL slow to approve new technology vendor

Mitigation:

- Position as LEMFA initiative (industry backing)
- Pilot with non-systemic MFIs first
- Engage CBL early and often
- Hire former CBL staff as advisors
- Demonstrate compliance rigor

Risk 3: Technical Complexity

Risk: Building all modules is expensive and time-consuming

Mitigation:

- Phased development (MVP first)
- Partner with existing vendors for non-core features (accounting, credit bureau)
- Open-source components where possible
- Hire experienced fintech developers
- Outsource specialized components (security, biometrics)

Risk 4: MFI Resistance to Change

Risk: MFIs hesitant to switch from familiar systems

Mitigation:

- Pilot program with generous terms
- White-glove onboarding and training
- Money-back guarantee
- Maintain parallel systems during transition
- Champion early adopters as case studies

Risk 5: Funding Shortfall

Risk: LEAP or other funding doesn't materialize

Mitigation:

- Bootstrap with borrower platform revenue
- Seek multiple funding sources simultaneously
- Offer pre-sales to LEMFA members (pay upfront for discount)
- Phased development aligned with cash flow
- Strategic partnerships for revenue sharing

PART 8: SUCCESS METRICS

Business Metrics (12-Month)

-  10 MFI customers acquired
-  M 90,000 ARR (Annual Recurring Revenue)
-  <10% customer churn
-  8/10 customer satisfaction score
-  LEMFA official endorsement obtained
-  CBL approval/recognition achieved
-  Break-even or profitable operations

Technical Metrics

-  99.5% platform uptime
-  <1% error rate in CBL report submissions

-  <5 minutes average loan application processing time
-  100% successful NCIR integrations
-  Zero data breaches or security incidents

Impact Metrics

-  M 120,000+ saved by MFIs (vs Experian costs)
 -  50% faster loan approvals (vs manual systems)
 -  10,000+ borrowers served through platform
 -  20+ jobs created (direct and indirect)
 -  100% compliance with CBL reporting requirements
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PART 9: ACTION PLAN (Next 30 Days)

Week 1: Foundation

Monday-Tuesday:

- Schedule meeting with President Nthole
- Request introduction to LEAP at Matanki House
- Obtain list of LEMFA member MFIs and contacts

Wednesday-Thursday:

- Review Credit Report Act 2012 in detail
- Download CBL prudential reporting templates
- Analyze Experian ProLoan features (competitive intelligence)

Friday:

- Draft LEAP funding proposal outline
- Create pitch deck for LEMFA board presentation

Week 2: Technical Scoping

Monday-Wednesday:

- Technical specifications for LMS core modules
- Identify NCIR integration requirements
- Research accounting system APIs (QuickBooks, Pastel, Sage)

Thursday-Friday:

- Cost estimates for development
- Hiring plan for compliance and technical roles
- Technology stack decisions

Week 3: Pilot Preparation

Monday-Tuesday:

- Identify 3 potential pilot MFIs from LEMFA
- Reach out for initial conversations
- Prepare pilot proposal template

Wednesday-Thursday:

- Develop demo environment (mockups or working prototype)
- Create training materials outline
- Draft service level agreements (SLAs)

Friday:

- Meet with President Nthole at Matanki House (LEAP introduction)
- Present platform vision and seek advice

Week 4: Launch Activities

Monday-Tuesday:

- Submit LEAP funding application
- Schedule demos with 3 pilot MFIs
- Present to LEMFA board (if meeting available)

Wednesday-Friday:

- Begin development of LMS MVP
- Hire compliance specialist
- Formalize pilot agreements with 2 MFIs

PART 10: KEY DOCUMENTS TO PREPARE

1. LEMFA Partnership Proposal

- Executive summary
- Problem statement (expensive foreign systems)
- Solution overview
- Pricing and cost savings analysis
- Implementation timeline
- Support and training plan

2. LEAP Funding Application

- Innovation and job creation narrative
- Financial projections
- Social impact metrics
- Team qualifications
- Use of funds breakdown

3. Pilot MFI Agreement

- Scope of pilot (features, timeline)
- Success criteria
- Pricing (discounted or free)
- Data protection and confidentiality
- Termination clause

4. CBL Approval Document

- Platform description
- Security and compliance measures
- Data protection framework
- Disaster recovery plan
- LEMFA endorsement letter

5. Product Specification Document

- Detailed feature list for each module
 - Technical architecture
 - Integration points
 - Compliance mapping (Credit Act, AML, CBL regulations)
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CONCLUSION

The Strategic Opportunity:

President Nthole has identified a critical gap in the Lesotho microfinance sector: expensive, foreign-owned technology systems that burden small MFIs and stifle growth. Your platform is uniquely positioned to fill this gap by offering:

- 1. **50% cost savings** vs Experian ProLoan
- 2. **Local ownership and support** (competitive advantage)
- 3. **Purpose-built** for Lesotho regulations and group lending
- 4. **LEMFA endorsement** pathway to credibility and scale
- 5. **LEAP funding** potential to accelerate development

Success Factors:

- ✓ **Timing is perfect:** LEMFA actively seeking alternatives to Experian monopoly
- ✓ **You have foundation:** Loan calculator, affordability, group lending already built
- ✓ **Champion identified:** President Nthole can open doors (LEMFA, LEAP, pilot MFIs)
- ✓ **Market validated:** 25-30 potential MFI customers with clear pain points
- ✓ **Competitive moat:** Local, affordable, specialized = hard for Experian to replicate

Recommended Next Step:

THIS WEEK: Schedule follow-up meeting with President Nthole to:

- 1. Request formal introduction to LEAP program
- 2. Seek endorsement for pilot with 2-3 LEMFA member MFIs
- 3. Get feedback on pricing strategy
- 4. Understand CBL approval process for new vendors
- 5. Discuss presenting at next LEMFA event

The Lesotho microfinance sector needs your solution. Let's make it happen.